

Principles of Marketing



Chapter#2

Company and Marketing Strategy

Partnering to Build Customer Relationships

(Day 18)

صلہ رحمی

رسول اللہ ﷺ نے فرمایا کہ

جو چاہتا ہو کہ اس کے رزق میں فراخی ہو اور اس کی عمر دراز ہو

تو وہ صلہ رحمی کیا کرے۔

(بخاری: 5986)



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النور

Strategic planning



- ❧ Planning--what are we going to do and how are we going to do it?
- ❧ Strategic Planning is the process of developing and maintaining a strategic fit between the organization's goals and capabilities and its changing marketing opportunities.

Steps in Strategic Planning



Steps in Strategic Planning



This process involves:

- ❧ Defining a Mission: Statement of an organization's purpose; should be market oriented.
- ❧ Setting Company Objectives: Supporting goals and objectives to guide the entire company.
- ❧ Designing a Business Portfolio: Collection of businesses and products that make up the company.
- ❧ Planning Functional Strategies: Detailed planning for each department designed to accomplish strategic objectives.

Defining a (Market-Oriented) Mission



- ❧ Shaping a sound mission begins with the following questions:
 - ❧ What is our business?
 - ❧ Who is the customer?
 - ❧ What do consumers value?
 - ❧ What should our business be?
- ❧ The mission statement is the **organization's purpose**, what it wants to accomplish in the larger environment
- ❧ **Market-oriented mission statement** defines the business **in terms of satisfying basic customer needs**

Defining a (Market-Oriented) Mission



● TABLE | 2.1 Market-Oriented Business Definitions

Company	Product-Oriented Definition	Market-Oriented Definition
Charles Schwab	We are a brokerage firm.	We are the guardian of our customers' financial dreams.
Hulu	We are an online video service.	We help people find and enjoy the world's premium video content when, where, and how they want it—all for free.
General Mills	We make consumer food products.	We nourish lives by making them healthier, easier, and richer.
Home Depot	We sell tools and home repair and improvement items.	We empower consumers to achieve the homes of their dreams.
Nike	We sell athletic shoes and apparel.	We bring inspiration and innovation to every athlete* in the world. (*If you have a body, you are an athlete.)
Revlon	We make cosmetics.	We sell lifestyle and self-expression; success and status; memories, hopes, and dreams.
Ritz-Carlton Hotels & Resorts	We rent rooms.	We create the Ritz-Carlton experience—one that enlivens the senses, instills well-being, and fulfills even the unexpressed wishes and needs of our guests.
Walmart	We run discount stores.	We deliver low prices every day and give ordinary folks the chance to buy the same things as rich people. "Save Money. Live Better."

Setting Company Objectives and Goals



Designing the Business Portfolio



- œ The business portfolio is the collection of businesses and products that make up the company.
- œ Business portfolio planning involves two steps:
 - œ First, the company must analyze its current business portfolio and decide which businesses should receive more, less , or no investment.
 - œ Second, it must shape the future portfolio by developing strategies for growth and downsizing.

Designing the Business Portfolio



- ❧ Portfolio analysis is a major activity in strategic planning whereby management evaluates the products and businesses that make up the company.
- ❧ Strategic business unit (SBU) is a unit of the company that has a separate mission and objectives that can be planned separately from other company businesses
 - ❧ Company division
 - ❧ Product line within a division
 - ❧ Single product or brand

Analyzing the Current Business Portfolio



Identify key businesses (strategic business units, or SBUs) that make up the company



Assess the attractiveness of its various SBUs



Decide how much support each SBU deserves

The Boston Consulting Group's Growth-Share Matrix (BCG Matrix)



The Boston Consulting Group's Growth-Share Matrix (BCG Matrix)



❧ **Stars:** They often need heavy investments to finance their rapid growth. Eventually their growth will slow down and they will turn into cash cows.

❧ **Cash Cows:** These established and successful SBUs need less investment to hold their market share. They produce lot of cash that the company uses to pay bills and that need investment.

❧ **Question Marks:** They require a lot of cash to hold their share, let alone increase it. Management has to think hard about which question marks it should try to build into stars and which should be phased out.

❧ **Dogs:** They may generate enough cash to maintain themselves but do not promise to be large sources of cash.

Problems with Matrix Approaches



- ❧ Difficulty in defining SBUs and measuring market share and growth
- ❧ Time consuming
- ❧ Expensive
- ❧ Focus on current businesses, not future planning

Life is like a camera

Focus: on what is important

Capture: the good times

Develope: from the negatives

And if things don't work out

Take another shot

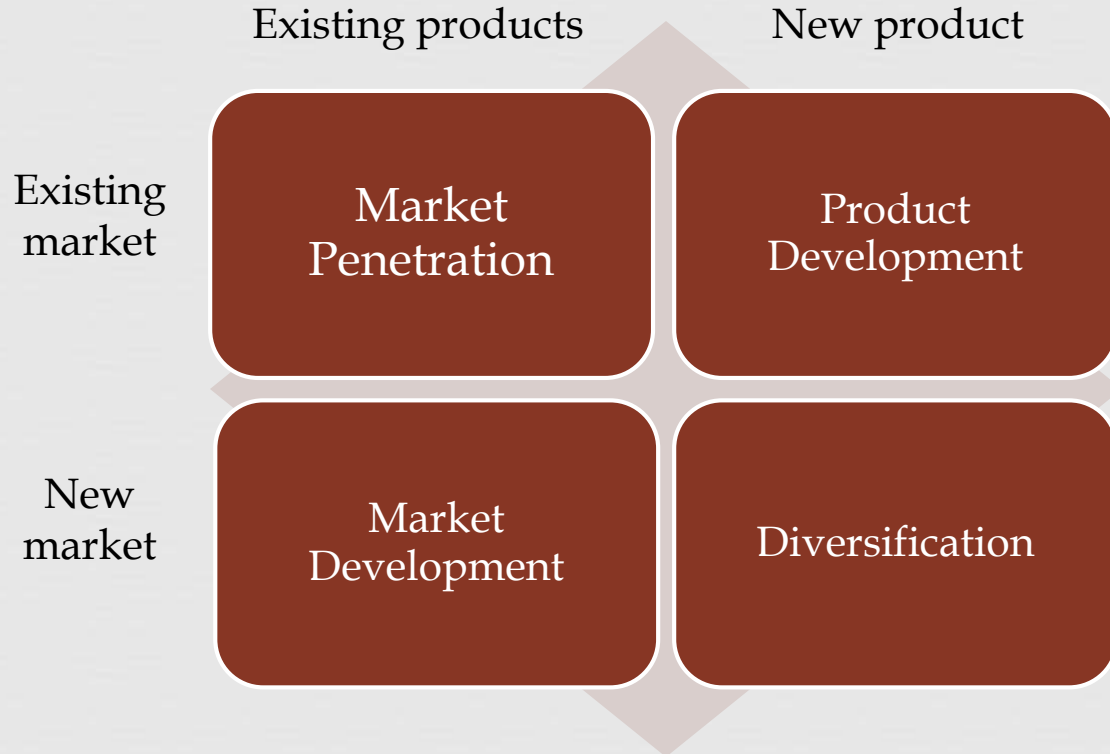


Developing Strategies for Growth and Downsizing



- ❧ Product/market expansion grid is a tool for identifying company growth opportunities through market penetration, market development, product development, or diversification.

Product/market expansion grid



Product/market expansion grid



Market penetration is a growth strategy increasing sales to current market segments without changing the product.

- How? Add new stores in current market areas, improve advertising, adjust prices, service or store design.
- National foods limited (redesigned distribution system, enhanced marketing communication to consumers by using the internet)

Market development is a growth strategy that identifies and develops new market segments for current products.

- How? Identify new demographic or geographic markets.
- National foods limited (expanded into Middle East , North America and Indian market)

Product/market expansion grid



Product development is a growth strategy that offers new or modified products to existing market segments.

- How? New styles, flavors, colors, or modified products.
- National foods limited (started as a spice producer but over the years added condiments such as tomato ketchup, Chinese sauces and variety of pickles)

Diversification is a growth strategy through starting up or acquiring businesses outside the company's current products and markets.

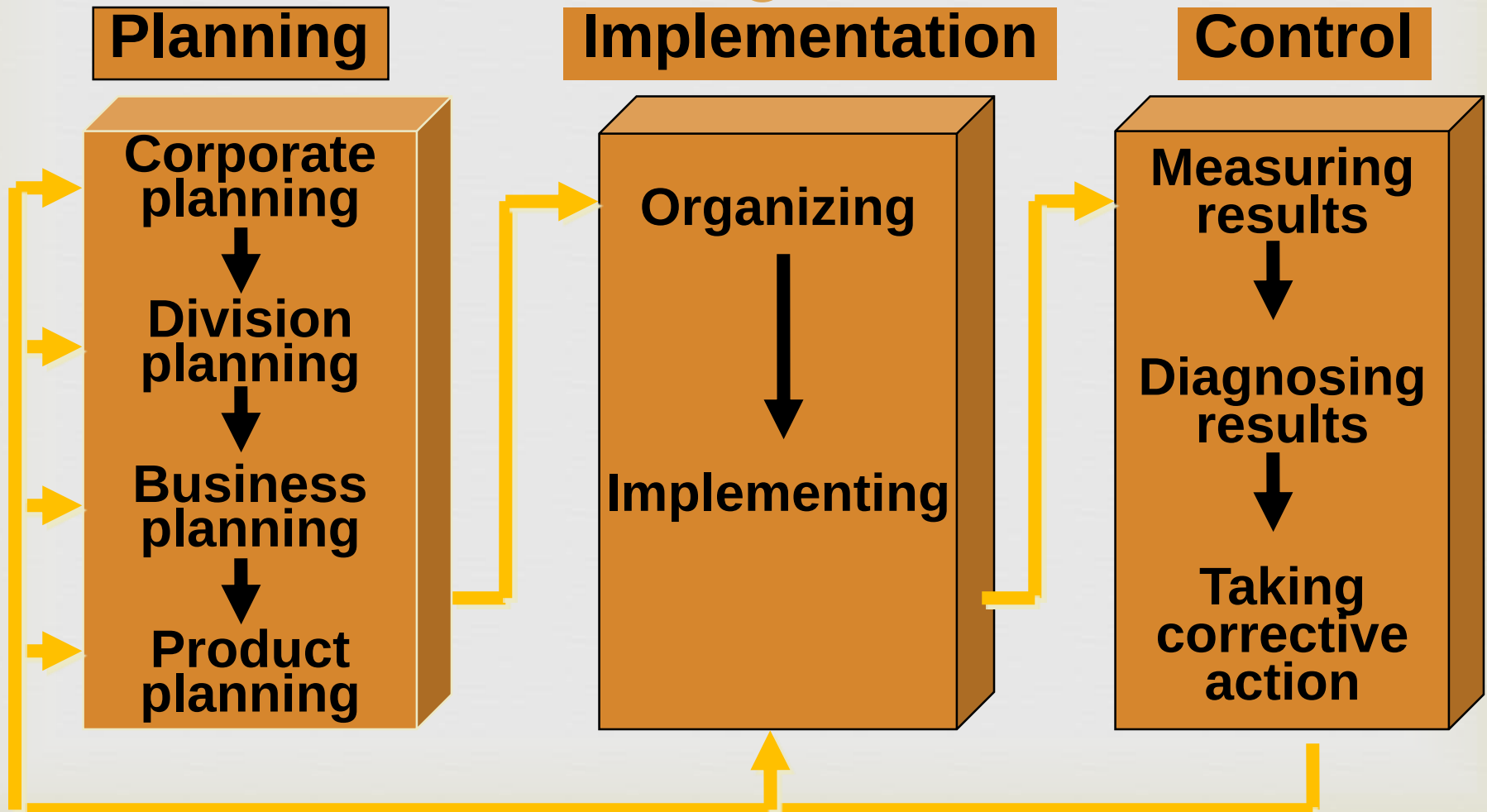
- How? Start up or buy new businesses.
- National foods limited (introduced the Ronaq brand of ready-to-eat meals)

Developing Strategies for Growth and Downsizing



⌘ **Downsizing** is the reduction of the business portfolio by eliminating products or business units that are not profitable or that no longer fit the company's overall strategy

Strategic Planning, Implementation, and Control Process



Marketing Strategy Planning Process

Customers

*Needs and other
Segmenting
Dimensions*

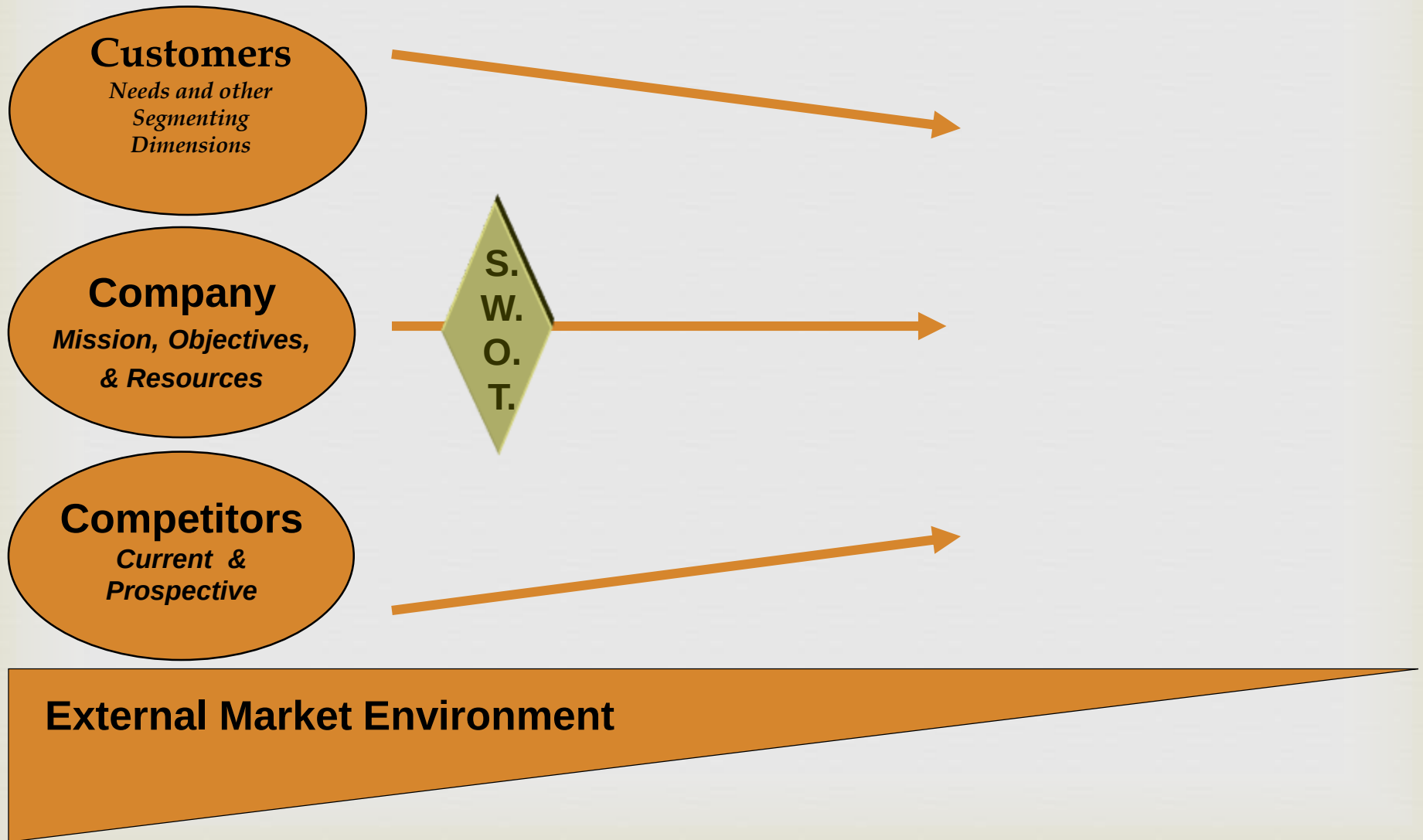
Company

*Mission, Objectives,
& Resources*

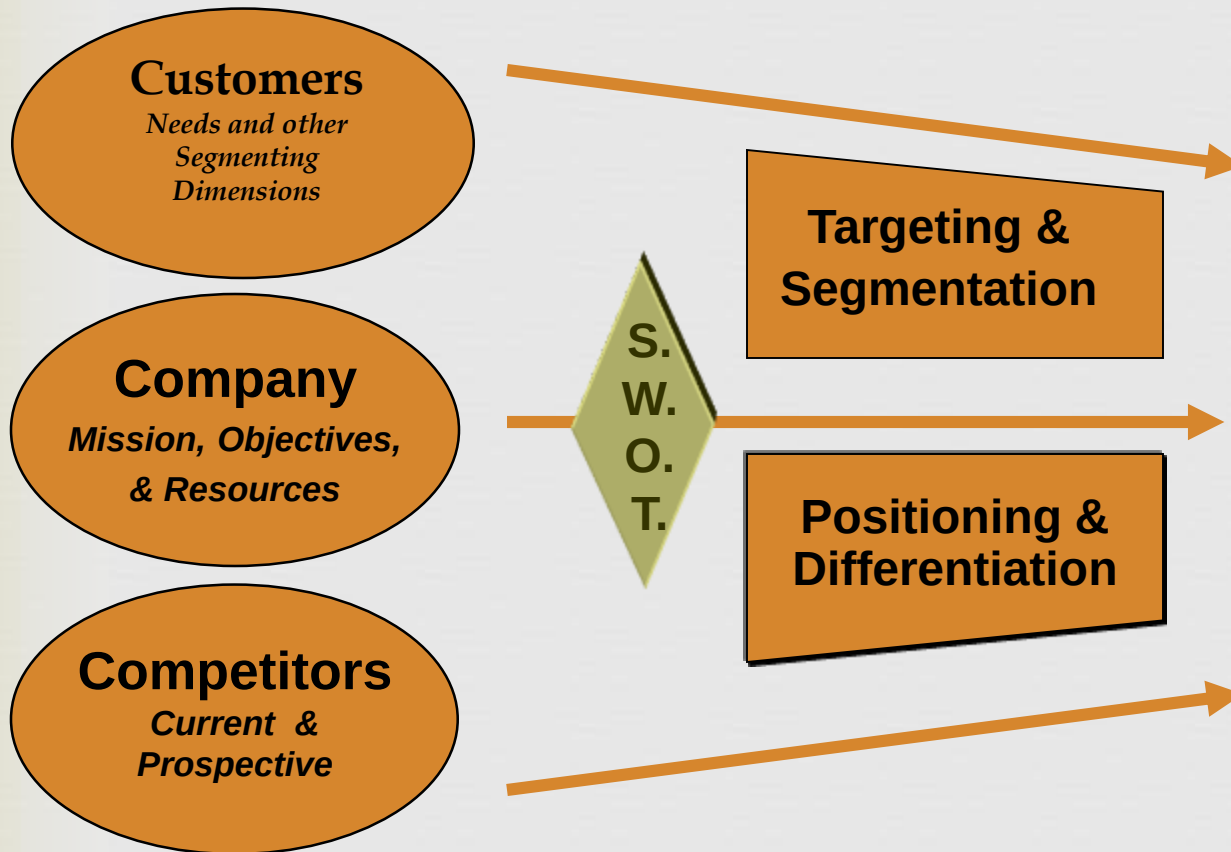
Competitors

*Current &
Prospective*

Marketing Strategy Planning Process

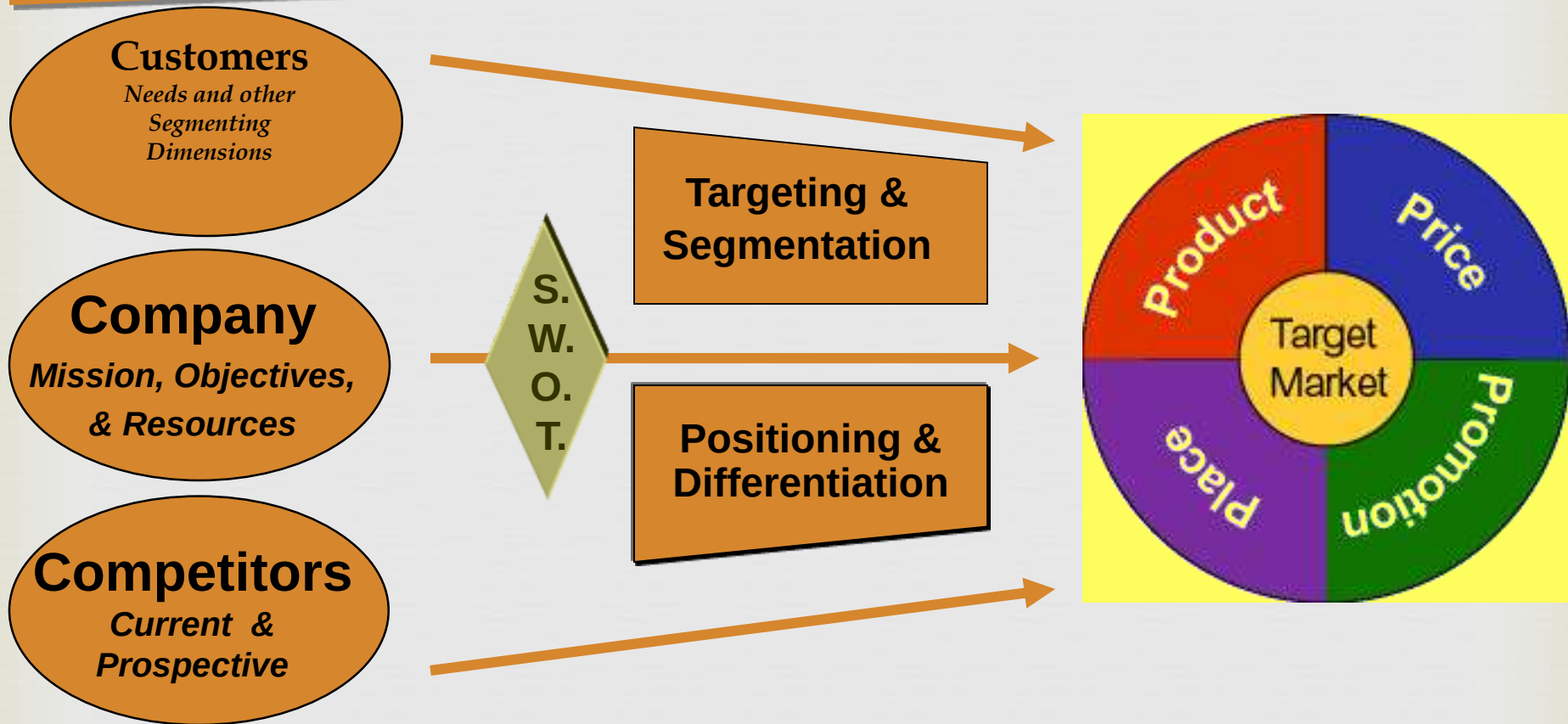


Marketing Strategy Planning Process



External Market Environment

Narrowing down to focused strategy with quantitative and qualitative screening criteria



External Market Environment

Marketing Process



- ❧ Analyzing marketing opportunities
- ❧ Selecting target markets
- ❧ Developing the marketing Mix
- ❧ Managing the marketing effort

ناکام لوگ

کامیاب لوگ



ہر وقت اعتراض کرنا

ہر معاملے میں خود کو حق دار سمجھنا

؟

بے مقصد زندگی گزارتے ہیں

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تبدیلی سے ڈرتے ہیں

اپنی سوچ کو مکمل سمجھتے ہیں



دوسروں کے بارے میں باتیں کرتے ہیں

سمجھتے ہیں ان کو سب پتہ ہے



کینہ رکھنا



کام کو پیسے کی نظر سے دیکھتے ہیں

غصہ نکالنا



اپنی ناکامیوں کا دوسروں پر الزام لگانا

؟

ان کو سمجھ نہیں آتا وہ چاہتے کیا ہیں

دوسروں کی ناکامی پر خوش ہوتے ہیں



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خیالات کے بارے میں بات کرتے ہیں



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تعریف کرنا



شکرگزاری کرنا

اپنی ناکامی کی ذمہ داری قبول کرنا



دوسروں کو کامیاب دیکھنا چاہتے ہیں



منصوبہ بندی کی فہرست تیار کرتے ہیں



مسئلہ سمجھتے ہیں

کام میں بہتر تبدیلی کے خواہ ہوتے ہیں



Marketing Strategy & The Marketing Mix



- ❧ **Marketing strategy:** The marketing logic by which the business unit hopes to create customer value and achieve profitable customer relationship.
- ❧ **Market segmentation** is the division of a market into distinct groups of buyers who have distinct needs, characteristics, or behavior and who might require separate products or marketing mixes.
- ❧ **Market segment** is a group of consumers who respond in a similar way to a given set of marketing efforts.
- ❧ **Market targeting** is the process of evaluating each market segment's attractiveness and selecting one or more segments to enter.

Marketing Strategy & The Marketing Mix

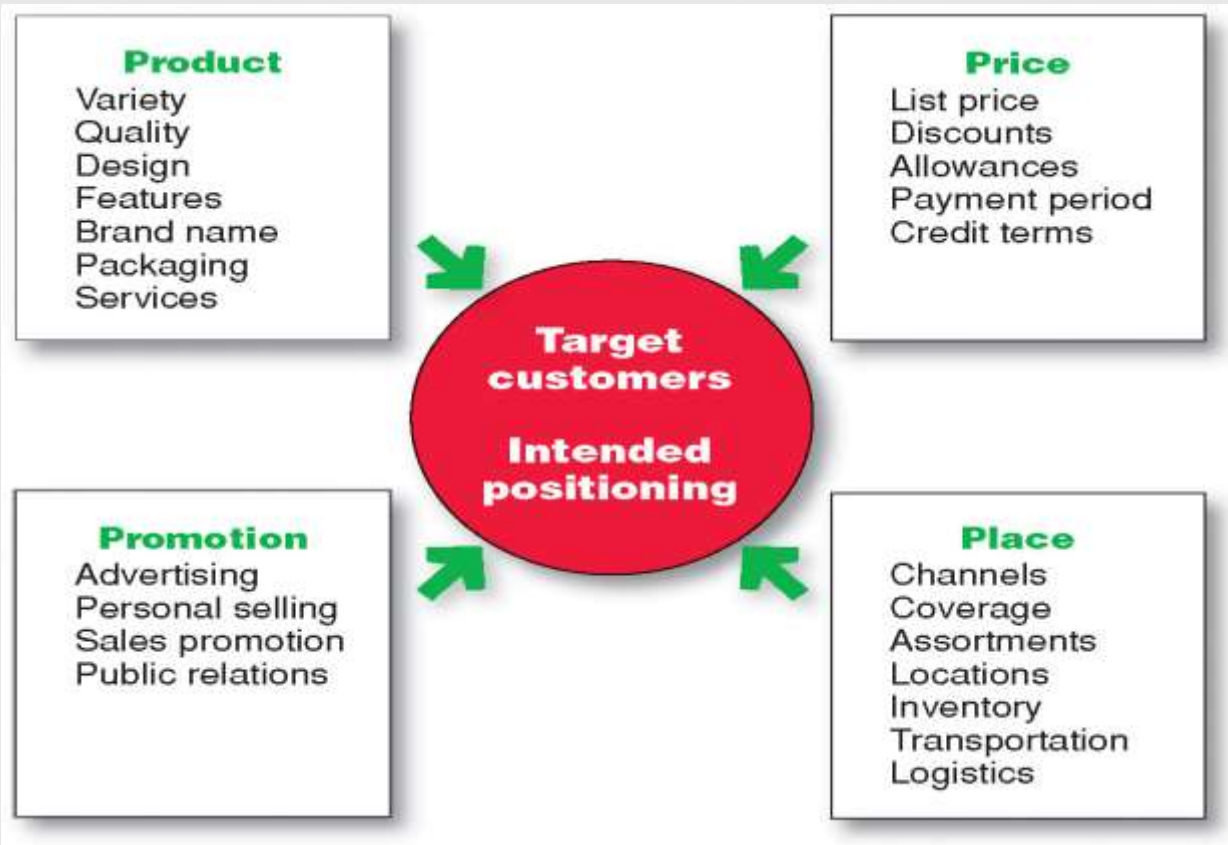


- ❧ **Market positioning** is the arranging for a product to occupy a clear, distinctive, and desirable place relative to competing products in the minds of the target consumer
- ❧ **Marketing mix** is the set of controllable tactical marketing tools – product, price, place, and promotion – that the firm blends to produce the response it wants in the target market

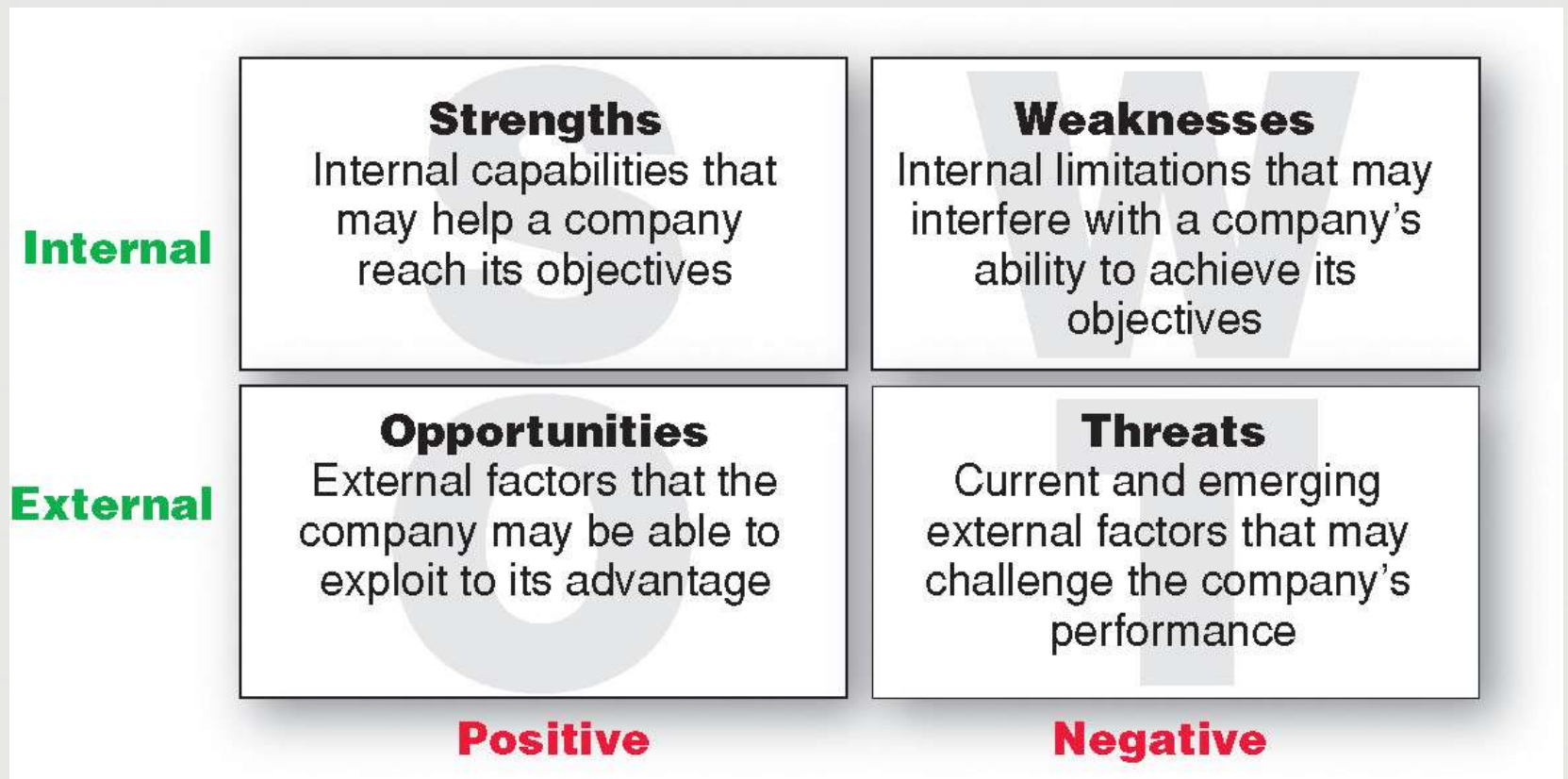
Marketing Strategy & The Marketing Mix



Developing an Integrated Marketing Mix



Managing the Marketing Effort (SWOT Analysis)



(Day 18)

نیکی کو حقیر نہ سمجھو

نبی کریم ﷺ نے فرمایا

نیکی میں کسی چیز کو حقیر نہ سمجھو، چاہے یہی ہو کہ تم اپنے

(مسلمان) بھائی کو کھلتے ہوئے چہرے سے ملو۔

(مسلم: 6690)



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